

in gains. Even cheaper were European and Asian stocks, but the performance was lacking here too—for example, the MSCI ACWI Ex-US was up about the same as the Russell, a touch less than 32%.¹⁹⁰

That was 2018. My colleague Nick Maggiulli¹⁹¹ pointed out that if in 2012, you did a Google search for “stock market overvalued,” lots of media stories were discussing how pricey stocks were and how far the markets had climbed since the March 2009 GFC lows.¹⁹² If you listened to Nick and ignored that bad advice, you were rewarded over the next five years, as the S&P 500 more than doubled (131%), and the Nasdaq more than tripled (236%).

Name a decade or year, and I can show you a bevy of terrible advice from pundits and the media followed by substantial gains in the markets. Even in a secular bear market, the negativity peaks as markets bottom. In fact, crash bottoms are not made until we have a capitulation—*surrender*—by market participants.

My takeaway is that you cannot allow valuations to affect your regular equity purchases in your 401(k) or any other dollar-cost averaging (DCA) into equities. Maggiulli sums this up in his delightfully titled book, *Just Keep Buying*. He smartly argues this is especially true if you are a youngish person. In your 20s or 30s, you have an investing time horizon of 40–60 years. Even *if* valuations are high and prices are expensive, sell-offs are not something to fear; they are opportunities to buy stocks when they go on sale at reduced prices.

Understanding valuation as a point along a continuum, changing as investor appetite for equities grows with the underlying bull market, is a very different idea than traditionally presented. Rather than think of value as one specific moment in time, a freeze frame, instead consider the full moving picture.¹⁹³

Allow me to sum up with a few broad observations about market valuations: